

FOREWORD

EUGENE FAMA, THE 2014 CORECIPIENT of the Nobel Prize in Economics and father of the efficient market hypothesis, has three words to describe momentum: “momentum is pervasive.” This is no small admission from Dr. Fama. Yet, despite momentum being pervasive, it remains largely, and perhaps curiously, misunderstood by investors. Thankfully, we have Gary Antonacci to fill this void. Gary’s *Dual Momentum Investing* is a true “pracademic” masterpiece, bridging the gap between academics, who have explored the nuanced theoretical mechanics of the momentum anomaly in dense academic journals, and practitioners who have used their vague knowledge of momentum in an ad-hoc way to generate excess returns. Gary brings to bear his expertise in both spheres, creating a momentum-based asset allocation strategy that is robust, simple, implementable, and has historically earned an outsized risk-adjusted return.

You could be forgiven for being skeptical, as I once was, about the merits of Gary’s Dual Momentum Investment philosophy. After all, there are many second-rate or even wholly ineffectual efforts to capture momentum. And as any empirical researcher can tell you, “trust, but verify.” Notwithstanding our extensive and rigorous examination, the evidence clearly suggests that Gary’s simple, intuitive, and comprehensive model is worth the effort it takes to understand it.

One of my best friends, who happens to be a former market maker for the largest emerging debt players in the world and who, not coincidentally, has already retired to Miami at the ripe old age of 40, often tells me, “Rising prices attract buyers; falling prices attract sellers.” In as many words, my friend is describing the momentum effect. Gary takes the